



Prelim Title Expiration Date: //



Section 2 – Underwriting Conditions

Liberty Group Funding Inc.

Borrower: **Elkoubi, Elad**

Co-borrower: ,

Prior to Approval (“PTA”) Conditions:

- 1.

Prior to Closing Disclosure (“PTCD”) Conditions:

1. Early CD - NBS Contact Info - NBS info to be added to Closing Request Form, required to send CD: Name, email address, phone number. PSS to waive if not required for transaction.
2. Third Party Invoices - Provide all Third-Party Invoices to be reflected on the final CD
3. Early CD - Escrow Settlement Statement - Escrow Settlement Statement to be provided confirming settlement fees
4. Early CD - Closing Request Form - Closing request form to be completed once loan is locked.

Prior to Docs (“PTD”) Conditions:

1. LOE - Provide signed and dated LOE from borrower to explain: Capital deposit on 6/30/2025 \$33,600 and reason income trend is show a loss of 9.93% when looking at a 6 month to 6 month comparison
2. LOE - Large Deposits - Provide signed and dated LOE from Borrower and source of funds for the following large deposits: 11/5/2024 \$21,020.05 12/17/2024 \$19,900.15 2/11/2025\$28,010.38 3/11/2025 \$22,162.48 3/25/2025 \$24,573.78 4/8/2025 \$19,529 7/1/2025 \$20,497.95
3. LOE - Credit Inquiries - Provide signed and dated LOE from [Borrower] to explain all recent credit inquiries within the previous 90 days for 9/20/2025 US BANK, 700 CREDIT/MOTOR CARS, BK OF AMER, MOTOR CARS O, WELLS FARGO AUTO, 9/19/2025 ALLY FINANCIAL, VLLY NAT BK, GM FINANCIAL COM, 9/18/2025 FLORIDA CREDIT UNION, SHEEHAN BUICK GMC, WESTLAKE SERVICE INC, GM FINANCIAL, 9/12/2025 NOWCOM/UNIQUE MOTORS S, ML/OREGON COMMUNITY CU, 9/8/2025 PENTAGON FEDERAL CR UN, 9/5/2025 LIGHTSTREAM, 8/18/2025 NOWCOM/LESS THAN 10,00, ONEMAIN, 7/10/2025 GM FINANCIAL, ALLY FINANCIAL, TD AUTO FIN, BK OF AMER, REGIONALAC, US BANK, MORSE OPERATIONS INC, TRUIST DEALER SERVIC, 6/25/2025 BANK/NC and state whether new credit was obtained. Provide verification of any credit inquiries that resulted in new debt payments for qualification.
4. Mortgage Statement - Provide mortgage statement for UWM #7477 to show October/November and December payments
5. Undisclosed REO - The following REO 251 174th St Unit #415, Sunny Isles Beach, FL 33160 was not disclosed on the 1003 application. Provided an updated 1003, acceptable mortgage payment history (if applicable), taxes, insurance, HOA fees (if applicable).
6. Omitted Debt - Provide satisfactory explanation along with supporting documentation as to why the following credit accounts were omitted: LENTTEGRITY LLC #5764, WESTLAKE FIN #3713, ALLY FINANCIAL #2060. Must meet all agency guidelines.
7. 1003 - Declarations state subject will be primary residence – please correct or update occupancy type on file.
8. SSA-89 Verification - [PSS] to place order for SSA-89 verification for [Borrower].
9. Prelim Title Commitment (Non-QM 2nd) - Provide prelim title commitment together with a 24 month chain of title and tax certification. For loan amounts equal to or less than \$250K, ALTA Residential Limited Coverage Junior Loan Policy is acceptable. Loan amounts equal to or greater than \$250K require an ALTA Standard Coverage Policy.
10. First Lien Note (Non-QM 2nd) - Provide note from the first lien mortgage. If the first lien closed in the name of an entity, guarantee and applicable entiy documents must be provided.
11. Non-QM 2nd Valuation - ***Requested 12/19 due back by 12/23***Provide Property Condition Inspection and AVM with 90% Confidence Factor. A Confidence Factor of less than 90% requires a full appraisal.
12. Cash out seasoning (Non QM) - Property must have been purchased or acquired by at least one borrower at least six months prior to the new loan's application date
13. LOE - Cash-Out (Non-QM) - Provide a letter explaining the use of loan proceeds is required for all transactions (Note: For all investment property transactions, any loan proceeds used to pay off personal debt creates a consumer transaction, and the loan is subject to ATR and TRID. This includes any past draws, regardless of timing,

on a HELOC secured by the subject property. Business purpose transactions will require a draw history schedule, along with an attestation from the borrower, in the credit file, that none of the advances were used for personal/consumer use).

14. Survey - Provide a survey or equivalent title endorsement providing sufficient coverage. Not needed if property is a Condo.
15. Rate Lock - Loan must be locked or extended before a clear to close can be issued
16. Hazard Insurance Replacement Cost-Florida - Provide Checklist of Coverage to ensure sufficient coverage or confirmation of insurable value.
17. Title Documents - Provide Closing Protection Letter reflecting TLS as the lender (excluding New York), Wiring Instructions (to match CPL), E&O Insurance
18. First Lien Mortgage Statement (Non-QM 2nd) - Provide mortgage statement for the first mortgage lien dated no earlier than 60 days prior to the note date of this mortgage.
19. Hazard Insurance Policy (2nd Liens) - Provide hazard insurance policy with a minimum dwelling coverage equal to or greater than the total balance of all mortgages. Policy must cover a minimum of 45 days from the date of closing for a refinance, and 12 months from the date of closing for a purchase transaction and reflect The Loan Store, Inc ISAOA as the mortgagee. Additionally, provide proof policy is paid or the balance due on the policy to be collected at closing.

Prior to Funding ("PTF") Conditions:

1. Notary Acknowledgements - Notary acknowledgements prefill with note date, for mail away closings or escrow states where documents are not date sensitive, notary may use a separate notary acknowledgement or cross through the date and correct with initials.
2. Final Title Policy - Final title policy to include all standard endorsements including ALTA 8 and ALTA 9 as well as any endorsements specific to loan type.(Ex. Condo, PUD, MH, T19, etc.)
3. Note to Settlement Agent- Document Signing Requirements - Amendments to the closing documents must be approved by the lender. Documents may not be executed prior to the note date or date on the documents. Countersigned documents are not allowed, all parties must sign the same set of closing documents. If borrower (s) are signing outside of the country, signing must occur at a US Embassy. Documents must not be date stamped, original signatures/dates are required. Electronic signatures are not allowed on closing documents for borrower (s) or any Non-Borrowing Owner(s). If documents are re-drawn, all new documents must be executed, we do not accept documents from previous closing packages.
4. Non-Borrowing Spouse - Non-borrowing spouse to sign the mini-set, including but not limited to the Security Instrument, Closing Disclosure, and the Notice of Right to Cancel (if applicable) in order to perfect a valid and enforceable first lien as applicable under state law.